

SpaceX (SPCX US)

Hold: Still too early to price all the high ambitions

- ◆ Q2 26: first set of results post IPO; 13% revenue beat driven by AI and Connectivity; smaller operating losses driven by AI
- ◆ Vertical integration flywheel still depends on yet-to-be-proven innovations, including data centers in space
- ◆ Hold rating maintained; we increase our Starlink forecasts, leading to a higher TP of USD117 (was USD115)

Q2 26 results beat expectations: SpaceX presented its first set of quarterly results after its IPO in June 2026. Investors should take SpaceX performance against consensus with a pinch of salt due to the lack of historical data and guidance. Still, we note that revenue, up 92% y-o-y to USD7.8bn were 13% ahead of expectations (Visible Alpha: USD6.9bn), driven by AI and Connectivity. These two segments benefited from new contracts, including compute (read [SpaceX: Rocket-centric](#), 23 July 2026), government (Starshield) and airlines deals. Operating losses came smaller than expected at USD143m compared to USD970m in Q2 25 (cons: USD1.6bn loss). The main driver for that strong performance was the high margin compute deals signed with Anthropic and Google. The company provided no precise Group's financial guidance for the coming quarter or the full year.

Solid operating cash flows at Starlink, demanding tech innovation elsewhere: Starlink is a more mature business unit (EBITDA-Capex: USD2bn in H1 26, USD1.3bn in H1 25). SpaceX has the ambition to take significant market shares from terrestrial telcos with its next generation of satellites. We are sceptical this can happen at scale due to technological and regulatory limitations. We also don't factor in our forecasts the benefit of orbital data centers (SpaceX plans for next year, we assume tests rather than an operational step change). Lastly, we see challenges for SpaceX to increase compute capacity to 10GW+ by end 2027 (from 1.4GW at present). We just don't see these happening soon enough to price them now.

Hold rating maintained, we increase our TP to USD117: We update our model post Q2 results and essentially only increase our Starlink forecasts. We value SpaceX's business segments separately and derive a valuation of USD151bn for AI (from USD150bn), USD272bn for Connectivity (from USD250bn), and USD387bn for Space (from USD391bn). We then apply an 'innovation premium' of 2.0x (unchanged) to the overall valuation to reach a TP of USD117 (from USD115). Our methodology is described in our initiation report (linked above). With a c7% downside we retain a Hold rating as we think the company still has a lot to deliver from a technology standpoint to deliver its long-term ambitions. Upside risks include orbital compute power to become viable; downside risks include Starship failing to deliver the fall in launch costs that would support both Connectivity and AI businesses.

Equities Internet Software & Services

United States



MAINTAIN HOLD

TARGET PRICE (USD)

117.00

PREVIOUS TARGET (USD)

115.00

SHARE PRICE (USD)

125.33

(as of 04 Aug 2026)

UPSIDE/DOWNSIDE

-6.6%

MARKET DATA

Market cap (USDm)	1,649,243	Free float	5%
Market cap (USDm)	1,649,243	BBG	SPCX US
3m ADTV (USDm)		RIC	SPCX.N

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	-0.84	0.01	0.38	0.58
HSBC EPS (prev)	-0.84	-0.06	0.26	0.44
Change (%)	0.0	nm	46.9	30.6
Consensus EPS	-	-0.43	0.61	3.13
PE (x)	nm	16306.2	326.0	216.7
Dividend yield (%)	0.0	0.0	0.0	0.0
EV/EBITDA (x)	400.2	94.2	67.0	45.8
ROE (%)	-7.3	0.1	2.4	3.4

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: SpaceX

Hold

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	18,674	41,401	52,423	65,526
EBITDA	4,112	17,012	24,285	35,953
Depreciation & amortisation	-6,701	-15,617	-24,882	-33,010
Operating profit/EBIT	-2,589	1,395	-597	2,943
Net interest	-1,630	-3,157	-916	-942
PBT	-4,219	-1,762	-1,513	2,001
HSBC PBT	-1,747	2,422	4,807	7,961
Taxation	-718	-1,681	257	-340
Net profit	-4,937	-4,114	-1,256	1,661
HSBC net profit	-2,465	69	5,065	7,621
Cash flow summary (USDm)				
Cash flow from operations	6,785	22,756	30,657	41,907
Capex	-20,737	-69,539	-53,984	-59,253
Cash flow from investment	-19,575	-75,550	-53,984	-59,253
Dividends	0	0	0	0
Change in net debt	-3,459	-43,342	24,365	18,372
FCF equity	-14,247	-46,957	-23,327	-17,346
Balance sheet summary (USDm)				
Intangible fixed assets	15,628	75,119	75,376	75,036
Tangible fixed assets	43,862	97,591	146,292	172,535
Current assets	30,952	97,409	52,688	36,923
Cash & others	24,747	84,557	40,167	21,795
Total assets	92,079	271,217	275,454	285,592
Operating liabilities	27,858	34,211	34,846	38,390
Gross debt	22,896	39,364	19,339	19,339
Net debt	-1,851	-45,193	-20,828	-2,456
Shareholders' funds	41,325	197,642	221,269	227,863
Invested capital	16,184	151,351	199,343	224,309

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	33.2	121.7	26.6	25.0
EBITDA	-4.1	313.7	42.8	48.0
Operating profit	-655.6		-142.8	
PBT	-1843.4			
HSBC EPS	-875.9		4901.2	50.5
Ratios (%)				
Revenue/IC (x)	0.9	0.5	0.3	0.3
ROIC	-14.5	3.3	-0.3	1.2
ROE	-7.3	0.1	2.4	3.4
ROA	-6.6	-1.9	-0.5	0.6
EBITDA margin	22.0	41.1	46.3	54.9
Operating profit margin	-13.9	3.4	-1.1	4.5
EBITDA/net interest (x)	2.5	5.4	26.5	38.2
Net debt/equity	-4.5	-22.9	-9.4	-1.1
Net debt/EBITDA (x)	-0.5	-2.7	-0.9	-0.1
CF from operations/net debt				
Per share data (USD)				
EPS Rep (diluted)	-1.69	-0.46	-0.10	0.13
HSBC EPS (diluted)	-0.84	0.01	0.38	0.58
DPS	0.00	0.00	0.00	0.00
Book value	14.12	21.90	16.79	17.29

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Space revenues	4,086	4,165	4,970	5,680
Connectivity revenues	11,387	17,417	24,358	31,828
AI revenues	3,201	19,818	23,096	28,018
Space Adj EBITDA	653	-503	979	1,684
Connectivity Adj EBITDA	7,168	11,043	15,962	21,539
AI Adj EBITDA	-1,237	10,656	13,664	18,690

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	88.1	38.7	31.0	25.1
EV/EBITDA	400.2	94.2	67.0	45.8
EV/IC	101.7	10.6	8.2	7.3
PE*	nm	16306.2	326.0	216.7
PB	8.9	5.7	7.5	7.2
FCF yield (%)	-0.9	-2.8	-1.4	-1.1
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	8
Energy intensity*	n/a	Average board tenure (years)	12.9
CO ₂ reduction policy	Yes	Female board members (%)	12.5
Social Indicators		Board members independence (%)	62.5
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

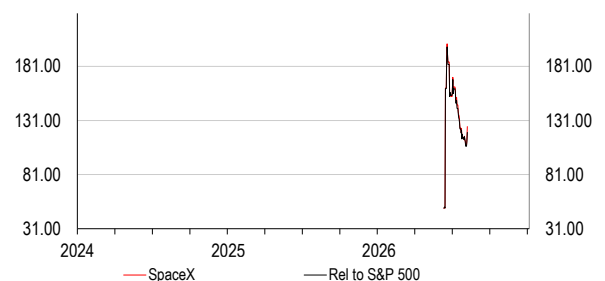
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	125.33	Free float	5%
Target price (USD)	117.00	Sector	Internet Software & Services
RIC (Equity)	SPCX.N	Country/Region	United States
Bloomberg (Equity)	SPCX US	Analyst	Nicolas Cote-Colisson
Market cap (USDm)	1,649,243	Contact	+44 20 7991 6826

Price relative



Source: HSBC

Note: Priced at close of 04 Aug 2026

Changes to estimates

Space	NEW			OLD			% DIFF		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Mass-to-Orbit	2,458	8,900	8,000	2,415	8,900	8,000	2%	0%	0%
Customer Launches	45	7	8	41	7	8	10%	0%	0%
Revenues	4,165	4,970	5,680	3,757	4,970	5,680	11%	0%	0%
Adj. EBITDA	(503)	979	1,684	(740)	883	1,641	32%	11%	3%
Connectivity									
Subscribers	16	23	30	16	23	30	-2%	-1%	-1%
ARPU	64	59	56	62	58	55	2%	2%	2%
Revenues	17,417	24,358	31,828	15,551	21,903	28,822	12%	11%	10%
Adj. EBITDA	11,043	15,962	21,539	10,089	14,626	19,864	9%	9%	8%
AI									
Compute	2	3	4	2	3	4	1%	1%	0%
Advertising Revenues	1,730	2,166	2,346	1,730	2,166	2,346	0%	0%	0%
AI Solutions Revenues	18,088	20,930	25,673	17,171	20,743	25,424	5%	1%	1%
Total Revenues	19,818	23,096	28,018	18,901	22,909	27,770	5%	1%	1%
Adj. EBITDA	10,656	13,664	18,690	9,541	12,589	17,518	12%	9%	7%
Total									
Revenues	41,401	52,423	65,526	38,208	49,783	62,272	8%	5%	5%
Adj. EBITDA	21,195	30,606	41,913	18,890	28,099	39,022	12%	9%	7%
Basic EPS (USDc)	(75)	(10)	13	(121)	(15)	3	38%	36%	278%
Capex	69,539	53,984	59,253	68,587	53,847	59,109	1%	0%	0%

Source: HSBC estimates

*Please note that the higher EBITDA but unchanged revenues within the Space division reflects minor changes to our cost assumptions.

HSBC SOTP valuation

USDm	EV	Year taken and multiple	Rationale
AI			
X	6,237	2x 2026e revenue	In-line with tier-2 social media peers such as SNAP and PINS
Grok	90,656	3.63x 2030e revenue	In-line with OpenAI's recent funding round
Compute offtake by Anthropic	4,781	Present value	Good deal, but likely to be short lived. Six months' EBIT discounted to today
Compute offtake by Google	4,472	Present value	Good deal, but likely to be short lived. Eight months' EBIT discounted to today
Compute offtake by others	20,506	10x 2030e non-GAAP EBIT	Year-taken to allow contracts to mature
Cursor	24,450	2.83x 2030e revenue	In-line with recent Anthropic funding raise. Acquisition cost removed at group level
Terafab	-		Still at a framework agreement stage
Orbital AI	-		Not necessary in the foreseeable future
AI valuation	151,102		
	150.00		
Connectivity			
Residential	94,381	5x 2028e revenues	2x that of US telecoms
Enterprise	97,136	7.5x 2028e revenues	3x that of US telecoms
Residential mobile	24,887	5x 2040e revenues discounted back	In-line with residential above, 2040 taken for business to reach maturity
Futuristic venture	55,407	10x 2040e revenues discounted back	10x to reflect high growth from new business opportunities, 2040 taken for business to reach maturity
Connectivity valuation	271,810		
	250.00		
Space			
Total launches incl. Starlink	92	2030e	Take total launches to correctly value optionality to wider business
Implied GLV revenues	40,018	2030e	
Segment adj. EBITDA margin	48.3%	2030e	HSBC forecast margin
GLV EBITDA	19,329	2030e	
EBITDA multiple	20.0x	2030e	Reflects high-market share
Space valuation	386,571		
Total EV	809,483		
Innovation premium	2.0x		
Valuation EV	1,618,967		
Less upcoming acquisitions	(76,900)		
Net debt (cash)	(1,851)		
Implied market cap	1,540,216		
Number of shares (bn)	13,176		Updated to reflect 10k, net change <1%.
TP (USD)	117.0		

Source: HSBC estimates

There are no changes to the above valuation multiples. The only change comes from the operational results and the higher share count which is a <1% difference.

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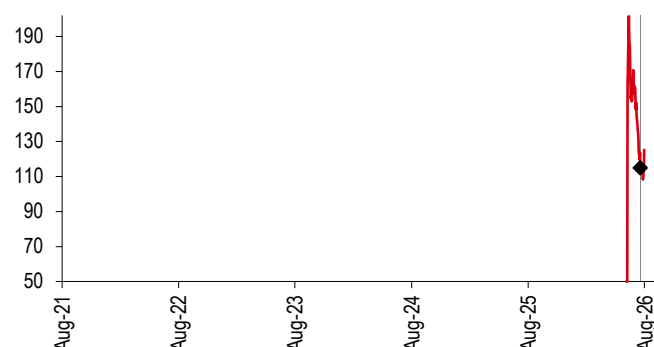
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Share price and rating changes for long-term investment opportunities
**SpaceX (SPCX.N) share price performance USD Vs
 HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Hold	23 Jul 2026	Nicolas Cote-Colisson
Target price	Value	Date	Analyst
Price 1	115.00	23 Jul 2026	Nicolas Cote-Colisson

Source: HSBC

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SPACEX	SPCX.N	125.33	04 Aug 2026	7

Source: HSBC

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